

Treasury & Liquidity Risk Review — Q2 2026

Northstar Financial Group

Business Knowledge Document

Owner: Treasury Risk

Reporting basis: 2026 management reporting

Classification: Internal — Synthetic Demonstration Corpus

Status: Approved for portfolio/demo use

Important notice

This is a fictional company document created as a realistic knowledge-base artifact for an Agentic RAG demonstration. It is not an internal document of Morgan Stanley or any other real financial institution, and it does not create legal, regulatory, accounting, investment, or compliance obligations. Public regulatory requirements should be sourced separately from the applicable regulator or licensed provider.

1. Liquidity Position

Purpose. This section documents the company's operating position for **liquidity position**. It is written for business users, risk officers, operations managers, finance partners, and control owners who need a consistent factual record rather than a technical description of a retrieval system.

Current position. During Q2 2026, management reviewed the liquidity position position against the prior period. The primary movement was from \$82.4B in Q1 2026 to \$79.1B in Q2 2026. The change was assessed using operational records, management reporting, control evidence, and exception logs. Where a metric is directional rather than a regulatory ratio, the report treats it as management information and does not imply a supervisory threshold.

Business interpretation. The movement was not evaluated in isolation. The team considered transaction volumes, client behavior, market conditions, staffing, system changes, vendor dependencies, and known control exceptions. The review therefore separates normal business growth from deterioration in control effectiveness and from one-time events.

Decision logic. Owners are expected to distinguish an observation from an issue. An observation becomes an issue when evidence shows a material variance, repeated control failure, unresolved exposure, or an action that is outside its agreed tolerance. Issues are assigned an owner, target date, severity, and evidence requirement.

Worked business example. Suppose the reporting period shows an increase from \$82.4B to \$79.1B. The first check is whether volume or population changed. The second check is whether the underlying rate, loss, exception count, or exposure also moved. If both population and adverse rate increase, management treats the change as more significant than a volume-only increase.

Evidence and controls. Evidence should be traceable to the source record, reporting period, business owner, and approval status. Control owners retain supporting calculations, exception populations, approvals, and remediation evidence. A management conclusion should never rely only on a narrative statement when a quantitative source is available.

Management response. The responsible team reviews the variance, identifies whether additional analysis is required, and records actions. Immediate containment is preferred for customer-impacting or financial-control issues. Longer-term corrective actions should address the cause rather than only the visible symptom.

Analyst notes. Useful search terms include liquidity position, Q2 2026, variance, exposure, exception, control, owner, remediation, threshold, and trend. Related sections should be read together because the same business event may appear in financial, operational, risk, compliance, and technology reporting.

Measure	Q1 2026	Q2 2026	Management interpretation
LIQUIDITY_POSITION_1	14	15	Reviewed; investigate if variance exceeds business tolerance
LIQUIDITY_POSITION_2	25	27	Reviewed; investigate if variance exceeds business tolerance
LIQUIDITY_POSITION_3	36	39	Reviewed; investigate if variance exceeds business tolerance
LIQUIDITY_POSITION_4	47	51	Reviewed; investigate if variance exceeds business tolerance
LIQUIDITY_POSITION_5	58	63	Reviewed; investigate if variance exceeds business tolerance

Control checklist

1. Confirm reporting period and population. 2. Reconcile the headline figure to its source. 3. Identify material movements and exceptions. 4. Confirm accountable owner. 5. Record evidence for management review. 6. Track remediation to closure. 7. Reassess downstream impacts before closing an issue.

Additional operating detail. The liquidity position review is connected to adjacent business processes. Teams should compare the stated result with the underlying population, investigate material deviations, document the rationale for management judgment, and preserve evidence needed for later review. A change that appears small in one report may become important when combined with customer impact, financial exposure, control dependency, or concentration.

Cross-functional handoff. Treasury Risk coordinates with Finance, Operations, Risk, Compliance, Technology, and Internal Controls as applicable. Each receiving team should validate assumptions specific to its process and should not treat this document as a substitute for its approved policy or procedure.

2. Funding Composition

Purpose. This section documents the company's operating position for **funding composition**. It is written for business users, risk officers, operations managers, finance partners, and control owners who need a consistent factual record rather than a technical description of a retrieval system.

Current position. During Q3 2026, management reviewed the funding composition position against the prior period. The primary movement was from 126% in Q2 2026 to 118% in Q3 2026. The change was assessed using operational records, management reporting, control evidence, and exception logs. Where a metric is directional rather than a regulatory ratio, the report treats it as management information and does not imply a supervisory threshold.

Business interpretation. The movement was not evaluated in isolation. The team considered transaction volumes, client behavior, market conditions, staffing, system changes, vendor dependencies, and known control exceptions. The review therefore separates normal business growth from deterioration in control effectiveness and from one-time events.

Decision logic. Owners are expected to distinguish an observation from an issue. An observation becomes an issue when evidence shows a material variance, repeated control failure, unresolved exposure, or an action that is outside its agreed tolerance. Issues are assigned an owner, target date, severity, and evidence requirement.

Worked business example. Suppose the reporting period shows an increase from 126% to 118%. The first check is whether volume or population changed. The second check is whether the underlying rate, loss, exception count, or exposure also moved. If both population and adverse rate increase, management treats the change as more significant than a volume-only increase.

Evidence and controls. Evidence should be traceable to the source record, reporting period, business owner, and approval status. Control owners retain supporting calculations, exception populations, approvals, and remediation evidence. A management conclusion should never rely only on a narrative statement when a quantitative source is available.

Management response. The responsible team reviews the variance, identifies whether additional analysis is required, and records actions. Immediate containment is preferred for customer-impacting or financial-control issues. Longer-term corrective actions should address the cause rather than only the visible symptom.

Analyst notes. Useful search terms include funding composition, Q3 2026, variance, exposure, exception, control, owner, remediation, threshold, and trend. Related sections should be read together because the same business event may appear in financial, operational, risk, compliance, and technology reporting.

Measure	Q2 2026	Q3 2026	Management interpretation
FUNDING_COMPOSITION_1	17	18	Reviewed; investigate if variance exceeds business tolerance
FUNDING_COMPOSITION_2	28	30	Reviewed; investigate if variance exceeds business tolerance
FUNDING_COMPOSITION_3	39	42	Reviewed; investigate if variance exceeds business tolerance
FUNDING_COMPOSITION_4	50	54	Reviewed; investigate if variance exceeds business tolerance
FUNDING_COMPOSITION_5	61	66	Reviewed; investigate if variance exceeds business tolerance

Control checklist

1. Confirm reporting period and population. 2. Reconcile the headline figure to its source. 3. Identify material movements and exceptions. 4. Confirm accountable owner. 5. Record evidence for management review. 6. Track remediation to closure. 7. Reassess downstream impacts before closing an issue.

Additional operating detail. The funding composition review is connected to adjacent business processes. Teams should compare the stated result with the underlying population, investigate material deviations, document the rationale for management judgment, and preserve evidence needed for later review. A change that appears small in one report may become important when combined with customer impact, financial exposure, control dependency, or concentration.

Cross-functional handoff. Treasury Risk coordinates with Finance, Operations, Risk, Compliance, Technology, and Internal Controls as applicable. Each receiving team should validate assumptions specific to its process and should not treat this document as a substitute for its approved policy or procedure.

3. Hqla

Purpose. This section documents the company's operating position for **HQLA**. It is written for business users, risk officers, operations managers, finance partners, and control owners who need a consistent factual record rather than a technical description of a retrieval system.

Current position. During Q4 2026, management reviewed the HQLA position against the prior period. The primary movement was from \$31.5B in Q3 2026 to \$35.2B in Q4 2026. The change was assessed using operational records, management reporting, control evidence, and exception logs. Where a metric is directional rather than a regulatory ratio, the report treats it as management information and does not imply a supervisory threshold.

Business interpretation. The movement was not evaluated in isolation. The team considered transaction volumes, client behavior, market conditions, staffing, system changes, vendor dependencies, and known control exceptions. The review therefore separates normal business growth from deterioration in control effectiveness and from one-time events.

Decision logic. Owners are expected to distinguish an observation from an issue. An observation becomes an issue when evidence shows a material variance, repeated control failure, unresolved exposure, or an action that is outside its agreed tolerance. Issues are assigned an owner, target date, severity, and evidence requirement.

Worked business example. Suppose the reporting period shows an increase from \$31.5B to \$35.2B. The first check is whether volume or population changed. The second check is whether the underlying rate, loss, exception count, or exposure also moved. If both population and adverse rate increase, management treats the change as more significant than a volume-only increase.

Evidence and controls. Evidence should be traceable to the source record, reporting period, business owner, and approval status. Control owners retain supporting calculations, exception populations, approvals, and remediation evidence. A management conclusion should never rely only on a narrative statement when a quantitative source is available.

Management response. The responsible team reviews the variance, identifies whether additional analysis is required, and records actions. Immediate containment is preferred for customer-impacting or financial-control issues. Longer-term corrective actions should address the cause rather than only the visible symptom.

Analyst notes. Useful search terms include HQLA, Q4 2026, variance, exposure, exception, control, owner, remediation, threshold, and trend. Related sections should be read together because the same business event may appear in financial, operational, risk, compliance, and technology reporting.

Measure	Q3 2026	Q4 2026	Management interpretation
HQLA_1	20	21	Reviewed; investigate if variance exceeds business tolerance
HQLA_2	31	33	Reviewed; investigate if variance exceeds business tolerance
HQLA_3	42	45	Reviewed; investigate if variance exceeds business tolerance
HQLA_4	53	57	Reviewed; investigate if variance exceeds business tolerance
HQLA_5	64	69	Reviewed; investigate if variance exceeds business tolerance

Control checklist

1. Confirm reporting period and population. 2. Reconcile the headline figure to its source. 3. Identify material movements and exceptions. 4. Confirm accountable owner. 5. Record evidence for management review. 6. Track remediation to closure. 7. Reassess downstream impacts before closing an issue.

Additional operating detail. The HQLA review is connected to adjacent business processes. Teams should compare the stated result with the underlying population, investigate material deviations, document the rationale for management judgment, and preserve evidence needed for later review. A change that appears small in one report may become important when combined with customer impact, financial exposure, control dependency, or concentration.

Cross-functional handoff. Treasury Risk coordinates with Finance, Operations, Risk, Compliance, Technology, and Internal Controls as applicable. Each receiving team should validate assumptions specific to its process and should not treat this document as a substitute for its approved policy or procedure.

4. Cash-Flow Forecasting

Purpose. This section documents the company's operating position for **cash-flow forecasting**. It is written for business users, risk officers, operations managers, finance partners, and control owners who need a consistent factual record rather than a technical description of a retrieval system.

Current position. During Q1 2026, management reviewed the cash-flow forecasting position against the prior period. The primary movement was from \$17.8B in Q4 2026 to \$15.9B in Q1 2026. The change was assessed using operational records, management reporting, control evidence, and exception logs. Where a metric is directional rather than a regulatory ratio, the report treats it as management information and does not imply a supervisory threshold.

Business interpretation. The movement was not evaluated in isolation. The team considered transaction volumes, client behavior, market conditions, staffing, system changes, vendor dependencies, and known control exceptions. The review therefore separates normal business growth from deterioration in control effectiveness and from one-time events.

Decision logic. Owners are expected to distinguish an observation from an issue. An observation becomes an issue when evidence shows a material variance, repeated control failure, unresolved exposure, or an action that is outside its agreed tolerance. Issues are assigned an owner, target date, severity, and evidence requirement.

Worked business example. Suppose the reporting period shows an increase from \$17.8B to \$15.9B. The first check is whether volume or population changed. The second check is whether the underlying rate, loss, exception count, or exposure also moved. If both population and adverse rate increase, management treats the change as more significant than a volume-only increase.

Evidence and controls. Evidence should be traceable to the source record, reporting period, business owner, and approval status. Control owners retain supporting calculations, exception populations, approvals, and remediation evidence. A management conclusion should never rely only on a narrative statement when a quantitative source is available.

Management response. The responsible team reviews the variance, identifies whether additional analysis is required, and records actions. Immediate containment is preferred for customer-impacting or financial-control issues. Longer-term corrective actions should address the cause rather than only the visible symptom.

Analyst notes. Useful search terms include cash-flow forecasting, Q1 2026, variance, exposure, exception, control, owner, remediation, threshold, and trend. Related sections should be read together because the same business event may appear in financial, operational, risk, compliance, and technology reporting.

Measure	Q4 2026	Q1 2026	Management interpretation
CASH-FLOW_FORECASTING_1	23	24	Reviewed; investigate if variance exceeds business tolerance
CASH-FLOW_FORECASTING_2	34	36	Reviewed; investigate if variance exceeds business tolerance
CASH-FLOW_FORECASTING_3	45	48	Reviewed; investigate if variance exceeds business tolerance
CASH-FLOW_FORECASTING_4	56	60	Reviewed; investigate if variance exceeds business tolerance
CASH-FLOW_FORECASTING_5	67	72	Reviewed; investigate if variance exceeds business tolerance

Control checklist

1. Confirm reporting period and population. 2. Reconcile the headline figure to its source. 3. Identify material movements and exceptions. 4. Confirm accountable owner. 5. Record evidence for management review. 6. Track remediation to closure. 7. Reassess downstream impacts before closing an issue.

Additional operating detail. The cash-flow forecasting review is connected to adjacent business processes. Teams should compare the stated result with the underlying population, investigate material deviations, document the rationale for management judgment, and preserve evidence needed for later review. A change that appears small in one report may become important when combined with customer impact, financial exposure, control dependency, or concentration.

Cross-functional handoff. Treasury Risk coordinates with Finance, Operations, Risk, Compliance, Technology, and Internal Controls as applicable. Each receiving team should validate assumptions specific to its process and should not treat this document as a substitute for its approved policy or procedure.

5. Stress Testing

Purpose. This section documents the company's operating position for **stress testing**. It is written for business users, risk officers, operations managers, finance partners, and control owners who need a consistent factual record rather than a technical description of a retrieval system.

Current position. During Q2 2026, management reviewed the stress testing position against the prior period. The primary movement was from \$82.4B in Q1 2026 to \$79.1B in Q2 2026. The change was assessed using operational records, management reporting, control evidence, and exception logs. Where a metric is directional rather than a regulatory ratio, the report treats it as management information and does not imply a supervisory threshold.

Business interpretation. The movement was not evaluated in isolation. The team considered transaction volumes, client behavior, market conditions, staffing, system changes, vendor dependencies, and known control exceptions. The review therefore separates normal business growth from deterioration in control effectiveness and from one-time events.

Decision logic. Owners are expected to distinguish an observation from an issue. An observation becomes an issue when evidence shows a material variance, repeated control failure, unresolved exposure, or an action that is outside its agreed tolerance. Issues are assigned an owner, target date, severity, and evidence requirement.

Worked business example. Suppose the reporting period shows an increase from \$82.4B to \$79.1B. The first check is whether volume or population changed. The second check is whether the underlying rate, loss, exception count, or exposure also moved. If both population and adverse rate increase, management treats the change as more significant than a volume-only increase.

Evidence and controls. Evidence should be traceable to the source record, reporting period, business owner, and approval status. Control owners retain supporting calculations, exception populations, approvals, and remediation evidence. A management conclusion should never rely only on a narrative statement when a quantitative source is available.

Management response. The responsible team reviews the variance, identifies whether additional analysis is required, and records actions. Immediate containment is preferred for customer-impacting or financial-control issues. Longer-term corrective actions should address the cause rather than only the visible symptom.

Analyst notes. Useful search terms include stress testing, Q2 2026, variance, exposure, exception, control, owner, remediation, threshold, and trend. Related sections should be read together because the same business event may appear in financial, operational, risk, compliance, and technology reporting.

Measure	Q1 2026	Q2 2026	Management interpretation
STRESS_TESTING_1	26	27	Reviewed; investigate if variance exceeds business tolerance
STRESS_TESTING_2	37	39	Reviewed; investigate if variance exceeds business tolerance
STRESS_TESTING_3	48	51	Reviewed; investigate if variance exceeds business tolerance
STRESS_TESTING_4	59	63	Reviewed; investigate if variance exceeds business tolerance
STRESS_TESTING_5	70	75	Reviewed; investigate if variance exceeds business tolerance

Control checklist

1. Confirm reporting period and population. 2. Reconcile the headline figure to its source. 3. Identify material movements and exceptions. 4. Confirm accountable owner. 5. Record evidence for management review. 6. Track remediation to closure. 7. Reassess downstream impacts before closing an issue.

Additional operating detail. The stress testing review is connected to adjacent business processes. Teams should compare the stated result with the underlying population, investigate material deviations, document the rationale for management judgment, and preserve evidence needed for later review. A change that appears small in one report may become important when combined with customer impact, financial exposure, control dependency, or concentration.

Cross-functional handoff. Treasury Risk coordinates with Finance, Operations, Risk, Compliance, Technology, and Internal Controls as applicable. Each receiving team should validate assumptions specific to its process and should not treat this document as a substitute for its approved policy or procedure.

6. Deposit Behavior

Purpose. This section documents the company's operating position for **deposit behavior**. It is written for business users, risk officers, operations managers, finance partners, and control owners who need a consistent factual record rather than a technical description of a retrieval system.

Current position. During Q3 2026, management reviewed the deposit behavior position against the prior period. The primary movement was from 126% in Q2 2026 to 118% in Q3 2026. The change was assessed using operational records, management reporting, control evidence, and exception logs. Where a metric is directional rather than a regulatory ratio, the report treats it as management information and does not imply a supervisory threshold.

Business interpretation. The movement was not evaluated in isolation. The team considered transaction volumes, client behavior, market conditions, staffing, system changes, vendor dependencies, and known control exceptions. The review therefore separates normal business growth from deterioration in control effectiveness and from one-time events.

Decision logic. Owners are expected to distinguish an observation from an issue. An observation becomes an issue when evidence shows a material variance, repeated control failure, unresolved exposure, or an action that is outside its agreed tolerance. Issues are assigned an owner, target date, severity, and evidence requirement.

Worked business example. Suppose the reporting period shows an increase from 126% to 118%. The first check is whether volume or population changed. The second check is whether the underlying rate, loss, exception count, or exposure also moved. If both population and adverse rate increase, management treats the change as more significant than a volume-only increase.

Evidence and controls. Evidence should be traceable to the source record, reporting period, business owner, and approval status. Control owners retain supporting calculations, exception populations, approvals, and remediation evidence. A management conclusion should never rely only on a narrative statement when a quantitative source is available.

Management response. The responsible team reviews the variance, identifies whether additional analysis is required, and records actions. Immediate containment is preferred for customer-impacting or financial-control issues. Longer-term corrective actions should address the cause rather than only the visible symptom.

Analyst notes. Useful search terms include deposit behavior, Q3 2026, variance, exposure, exception, control, owner, remediation, threshold, and trend. Related sections should be read together because the same business event may appear in financial, operational, risk, compliance, and technology reporting.

Measure	Q2 2026	Q3 2026	Management interpretation
DEPOSIT_BEHAVIOR_1	29	30	Reviewed; investigate if variance exceeds business tolerance
DEPOSIT_BEHAVIOR_2	40	42	Reviewed; investigate if variance exceeds business tolerance
DEPOSIT_BEHAVIOR_3	51	54	Reviewed; investigate if variance exceeds business tolerance
DEPOSIT_BEHAVIOR_4	62	66	Reviewed; investigate if variance exceeds business tolerance
DEPOSIT_BEHAVIOR_5	73	78	Reviewed; investigate if variance exceeds business tolerance

Control checklist

1. Confirm reporting period and population. 2. Reconcile the headline figure to its source. 3. Identify material movements and exceptions. 4. Confirm accountable owner. 5. Record evidence for management review. 6. Track remediation to closure. 7. Reassess downstream impacts before closing an issue.

Additional operating detail. The deposit behavior review is connected to adjacent business processes. Teams should compare the stated result with the underlying population, investigate material deviations, document the rationale for management judgment, and preserve evidence needed for later review. A change that appears small in one report may become important when combined with customer impact, financial exposure, control dependency, or concentration.

Cross-functional handoff. Treasury Risk coordinates with Finance, Operations, Risk, Compliance, Technology, and Internal Controls as applicable. Each receiving team should validate assumptions specific to its process and should not treat this document as a substitute for its approved policy or procedure.

7. Wholesale Funding

Purpose. This section documents the company's operating position for **wholesale funding**. It is written for business users, risk officers, operations managers, finance partners, and control owners who need a consistent factual record rather than a technical description of a retrieval system.

Current position. During Q4 2026, management reviewed the wholesale funding position against the prior period. The primary movement was from \$31.5B in Q3 2026 to \$35.2B in Q4 2026. The change was assessed using operational records, management reporting, control evidence, and exception logs. Where a metric is directional rather than a regulatory ratio, the report treats it as management information and does not imply a supervisory threshold.

Business interpretation. The movement was not evaluated in isolation. The team considered transaction volumes, client behavior, market conditions, staffing, system changes, vendor dependencies, and known control exceptions. The review therefore separates normal business growth from deterioration in control effectiveness and from one-time events.

Decision logic. Owners are expected to distinguish an observation from an issue. An observation becomes an issue when evidence shows a material variance, repeated control failure, unresolved exposure, or an action that is outside its agreed tolerance. Issues are assigned an owner, target date, severity, and evidence requirement.

Worked business example. Suppose the reporting period shows an increase from \$31.5B to \$35.2B. The first check is whether volume or population changed. The second check is whether the underlying rate, loss, exception count, or exposure also moved. If both population and adverse rate increase, management treats the change as more significant than a volume-only increase.

Evidence and controls. Evidence should be traceable to the source record, reporting period, business owner, and approval status. Control owners retain supporting calculations, exception populations, approvals, and remediation evidence. A management conclusion should never rely only on a narrative statement when a quantitative source is available.

Management response. The responsible team reviews the variance, identifies whether additional analysis is required, and records actions. Immediate containment is preferred for customer-impacting or financial-control issues. Longer-term corrective actions should address the cause rather than only the visible symptom.

Analyst notes. Useful search terms include wholesale funding, Q4 2026, variance, exposure, exception, control, owner, remediation, threshold, and trend. Related sections should be read together because the same business event may appear in financial, operational, risk, compliance, and technology reporting.

Measure	Q3 2026	Q4 2026	Management interpretation
WHOLESALE_FUNDING_1	32	33	Reviewed; investigate if variance exceeds business tolerance
WHOLESALE_FUNDING_2	43	45	Reviewed; investigate if variance exceeds business tolerance
WHOLESALE_FUNDING_3	54	57	Reviewed; investigate if variance exceeds business tolerance
WHOLESALE_FUNDING_4	65	69	Reviewed; investigate if variance exceeds business tolerance
WHOLESALE_FUNDING_5	76	81	Reviewed; investigate if variance exceeds business tolerance

Control checklist

1. Confirm reporting period and population. 2. Reconcile the headline figure to its source. 3. Identify material movements and exceptions. 4. Confirm accountable owner. 5. Record evidence for management review. 6. Track remediation to closure. 7. Reassess downstream impacts before closing an issue.

Additional operating detail. The wholesale funding review is connected to adjacent business processes. Teams should compare the stated result with the underlying population, investigate material deviations, document the rationale for management judgment, and preserve evidence needed for later review. A change that appears small in one report may become important when combined with customer impact, financial exposure, control dependency, or concentration.

Cross-functional handoff. Treasury Risk coordinates with Finance, Operations, Risk, Compliance, Technology, and Internal Controls as applicable. Each receiving team should validate assumptions specific to its process and should not treat this document as a substitute for its approved policy or procedure.

8. Contingency Funding

Purpose. This section documents the company's operating position for **contingency funding**. It is written for business users, risk officers, operations managers, finance partners, and control owners who need a consistent factual record rather than a technical description of a retrieval system.

Current position. During Q1 2026, management reviewed the contingency funding position against the prior period. The primary movement was from \$17.8B in Q4 2026 to \$15.9B in Q1 2026. The change was assessed using operational records, management reporting, control evidence, and exception logs. Where a metric is directional rather than a regulatory ratio, the report treats it as management information and does not imply a supervisory threshold.

Business interpretation. The movement was not evaluated in isolation. The team considered transaction volumes, client behavior, market conditions, staffing, system changes, vendor dependencies, and known control exceptions. The review therefore separates normal business growth from deterioration in control effectiveness and from one-time events.

Decision logic. Owners are expected to distinguish an observation from an issue. An observation becomes an issue when evidence shows a material variance, repeated control failure, unresolved exposure, or an action that is outside its agreed tolerance. Issues are assigned an owner, target date, severity, and evidence requirement.

Worked business example. Suppose the reporting period shows an increase from \$17.8B to \$15.9B. The first check is whether volume or population changed. The second check is whether the underlying rate, loss, exception count, or exposure also moved. If both population and adverse rate increase, management treats the change as more significant than a volume-only increase.

Evidence and controls. Evidence should be traceable to the source record, reporting period, business owner, and approval status. Control owners retain supporting calculations, exception populations, approvals, and remediation evidence. A management conclusion should never rely only on a narrative statement when a quantitative source is available.

Management response. The responsible team reviews the variance, identifies whether additional analysis is required, and records actions. Immediate containment is preferred for customer-impacting or financial-control issues. Longer-term corrective actions should address the cause rather than only the visible symptom.

Analyst notes. Useful search terms include contingency funding, Q1 2026, variance, exposure, exception, control, owner, remediation, threshold, and trend. Related sections should be read together because the same business event may appear in financial, operational, risk, compliance, and technology reporting.

Measure	Q4 2026	Q1 2026	Management interpretation
CONTINGENCY_FUNDING_1	35	36	Reviewed; investigate if variance exceeds business tolerance
CONTINGENCY_FUNDING_2	46	48	Reviewed; investigate if variance exceeds business tolerance
CONTINGENCY_FUNDING_3	57	60	Reviewed; investigate if variance exceeds business tolerance
CONTINGENCY_FUNDING_4	68	72	Reviewed; investigate if variance exceeds business tolerance
CONTINGENCY_FUNDING_5	79	84	Reviewed; investigate if variance exceeds business tolerance

Control checklist

1. Confirm reporting period and population. 2. Reconcile the headline figure to its source. 3. Identify material movements and exceptions. 4. Confirm accountable owner. 5. Record evidence for management review. 6. Track remediation to closure. 7. Reassess downstream impacts before closing an issue.

Additional operating detail. The contingency funding review is connected to adjacent business processes. Teams should compare the stated result with the underlying population, investigate material deviations, document the rationale for management judgment, and preserve evidence needed for later review. A change that appears small in one report may become important when combined with customer impact, financial exposure, control dependency, or concentration.

Cross-functional handoff. Treasury Risk coordinates with Finance, Operations, Risk, Compliance, Technology, and Internal Controls as applicable. Each receiving team should validate assumptions specific to its process and should not treat this document as a substitute for its approved policy or procedure.

9. Intraday Liquidity

Purpose. This section documents the company's operating position for **intraday liquidity**. It is written for business users, risk officers, operations managers, finance partners, and control owners who need a consistent factual record rather than a technical description of a retrieval system.

Current position. During Q2 2026, management reviewed the intraday liquidity position against the prior period. The primary movement was from \$82.4B in Q1 2026 to \$79.1B in Q2 2026. The change was assessed using operational records, management reporting, control evidence, and exception logs. Where a metric is directional rather than a regulatory ratio, the report treats it as management information and does not imply a supervisory threshold.

Business interpretation. The movement was not evaluated in isolation. The team considered transaction volumes, client behavior, market conditions, staffing, system changes, vendor dependencies, and known control exceptions. The review therefore separates normal business growth from deterioration in control effectiveness and from one-time events.

Decision logic. Owners are expected to distinguish an observation from an issue. An observation becomes an issue when evidence shows a material variance, repeated control failure, unresolved exposure, or an action that is outside its agreed tolerance. Issues are assigned an owner, target date, severity, and evidence requirement.

Worked business example. Suppose the reporting period shows an increase from \$82.4B to \$79.1B. The first check is whether volume or population changed. The second check is whether the underlying rate, loss, exception count, or exposure also moved. If both population and adverse rate increase, management treats the change as more significant than a volume-only increase.

Evidence and controls. Evidence should be traceable to the source record, reporting period, business owner, and approval status. Control owners retain supporting calculations, exception populations, approvals, and remediation evidence. A management conclusion should never rely only on a narrative statement when a quantitative source is available.

Management response. The responsible team reviews the variance, identifies whether additional analysis is required, and records actions. Immediate containment is preferred for customer-impacting or financial-control issues. Longer-term corrective actions should address the cause rather than only the visible symptom.

Analyst notes. Useful search terms include intraday liquidity, Q2 2026, variance, exposure, exception, control, owner, remediation, threshold, and trend. Related sections should be read together because the same business event may appear in financial, operational, risk, compliance, and technology reporting.

Measure	Q1 2026	Q2 2026	Management interpretation
INTRADAY_LIQUIDITY_1	38	39	Reviewed; investigate if variance exceeds business tolerance
INTRADAY_LIQUIDITY_2	49	51	Reviewed; investigate if variance exceeds business tolerance
INTRADAY_LIQUIDITY_3	60	63	Reviewed; investigate if variance exceeds business tolerance
INTRADAY_LIQUIDITY_4	71	75	Reviewed; investigate if variance exceeds business tolerance
INTRADAY_LIQUIDITY_5	82	87	Reviewed; investigate if variance exceeds business tolerance

Control checklist

1. Confirm reporting period and population. 2. Reconcile the headline figure to its source. 3. Identify material movements and exceptions. 4. Confirm accountable owner. 5. Record evidence for management review. 6. Track remediation to closure. 7. Reassess downstream impacts before closing an issue.

Additional operating detail. The intraday liquidity review is connected to adjacent business processes. Teams should compare the stated result with the underlying population, investigate material deviations, document the rationale for management judgment, and preserve evidence needed for later review. A change that appears small in one report may become important when combined with customer impact, financial exposure, control dependency, or concentration.

Cross-functional handoff. Treasury Risk coordinates with Finance, Operations, Risk, Compliance, Technology, and Internal Controls as applicable. Each receiving team should validate assumptions specific to its process and should not treat this document as a substitute for its approved policy or procedure.

10. Management Actions

Purpose. This section documents the company's operating position for **management actions**. It is written for business users, risk officers, operations managers, finance partners, and control owners who need a consistent factual record rather than a technical description of a retrieval system.

Current position. During Q3 2026, management reviewed the management actions position against the prior period. The primary movement was from 126% in Q2 2026 to 118% in Q3 2026. The change was assessed using operational records, management reporting, control evidence, and exception logs. Where a metric is directional rather than a regulatory ratio, the report treats it as management information and does not imply a supervisory threshold.

Business interpretation. The movement was not evaluated in isolation. The team considered transaction volumes, client behavior, market conditions, staffing, system changes, vendor dependencies, and known control exceptions. The review therefore separates normal business growth from deterioration in control effectiveness and from one-time events.

Decision logic. Owners are expected to distinguish an observation from an issue. An observation becomes an issue when evidence shows a material variance, repeated control failure, unresolved exposure, or an action that is outside its agreed tolerance. Issues are assigned an owner, target date, severity, and evidence requirement.

Worked business example. Suppose the reporting period shows an increase from 126% to 118%. The first check is whether volume or population changed. The second check is whether the underlying rate, loss, exception count, or exposure also moved. If both population and adverse rate increase, management treats the change as more significant than a volume-only increase.

Evidence and controls. Evidence should be traceable to the source record, reporting period, business owner, and approval status. Control owners retain supporting calculations, exception populations, approvals, and remediation evidence. A management conclusion should never rely only on a narrative statement when a quantitative source is available.

Management response. The responsible team reviews the variance, identifies whether additional analysis is required, and records actions. Immediate containment is preferred for customer-impacting or financial-control issues. Longer-term corrective actions should address the cause rather than only the visible symptom.

Analyst notes. Useful search terms include management actions, Q3 2026, variance, exposure, exception, control, owner, remediation, threshold, and trend. Related sections should be read together because the same business event may appear in financial, operational, risk, compliance, and technology reporting.

Measure	Q2 2026	Q3 2026	Management interpretation
MANAGEMENT_ACTIONS_1	41	42	Reviewed; investigate if variance exceeds business tolerance
MANAGEMENT_ACTIONS_2	52	54	Reviewed; investigate if variance exceeds business tolerance
MANAGEMENT_ACTIONS_3	63	66	Reviewed; investigate if variance exceeds business tolerance
MANAGEMENT_ACTIONS_4	74	78	Reviewed; investigate if variance exceeds business tolerance
MANAGEMENT_ACTIONS_5	85	90	Reviewed; investigate if variance exceeds business tolerance

Control checklist

1. Confirm reporting period and population. 2. Reconcile the headline figure to its source. 3. Identify material movements and exceptions. 4. Confirm accountable owner. 5. Record evidence for management review. 6. Track remediation to closure. 7. Reassess downstream impacts before closing an issue.

Additional operating detail. The management actions review is connected to adjacent business processes. Teams should compare the stated result with the underlying population, investigate material deviations, document the rationale for management judgment, and preserve evidence needed for later review. A change that appears small in one report may become important when combined with customer impact, financial exposure, control dependency, or concentration.

Cross-functional handoff. Treasury Risk coordinates with Finance, Operations, Risk, Compliance, Technology, and Internal Controls as applicable. Each receiving team should validate assumptions specific to its process and should not treat this document as a substitute for its approved policy or procedure.

Appendix A — Management Data Dictionary

Field	Definition	Use	Owner
liquidity_position_metric_1	Management measure used to monitor the documented business process	Business process review, reconciliation or management	Treasury Risk
funding_composition_metric_2	Management measure used to monitor the documented business process	Business process review, reconciliation or management	Treasury Risk
HQLA_metric_3	Management measure used to monitor the documented business process	Business process review, reconciliation or management	Treasury Risk
cash-flow_forecasting_metric_4	Management measure used to monitor the documented business process	Business process review, reconciliation or management	Treasury Risk
stress_testing_metric_5	Management measure used to monitor the documented business process	Business process review, reconciliation or management	Treasury Risk
deposit_behavior_metric_6	Management measure used to monitor the documented business process	Business process review, reconciliation or management	Treasury Risk
wholesale_funding_metric_7	Management measure used to monitor the documented business process	Business process review, reconciliation or management	Treasury Risk
contingency_funding_metric_8	Management measure used to monitor the documented business process	Business process review, reconciliation or management	Treasury Risk
intraday_liquidity_metric_9	Management measure used to monitor the documented business process	Business process review, reconciliation or management	Treasury Risk
management_actions_metric_10	Management measure used to monitor the documented business process	Business process review, reconciliation or management	Treasury Risk
liquidity_position_metric_11	Management measure used to monitor the documented business process	Business process review, reconciliation or management	Treasury Risk
funding_composition_metric_12	Management measure used to monitor the documented business process	Business process review, reconciliation or management	Treasury Risk
HQLA_metric_13	Management measure used to monitor the documented business process	Business process review, reconciliation or management	Treasury Risk
cash-flow_forecasting_metric_14	Management measure used to monitor the documented business process	Business process review, reconciliation or management	Treasury Risk
stress_testing_metric_15	Management measure used to monitor the documented business process	Business process review, reconciliation or management	Treasury Risk
deposit_behavior_metric_16	Management measure used to monitor the documented business process	Business process review, reconciliation or management	Treasury Risk
wholesale_funding_metric_17	Management measure used to monitor the documented business process	Business process review, reconciliation or management	Treasury Risk
contingency_funding_metric_18	Management measure used to monitor the documented business process	Business process review, reconciliation or management	Treasury Risk

Appendix B — Review and Approval Record

Document owner: Treasury Risk
Business review: Risk / Operations / Finance as applicable
Review frequency: quarterly, or sooner after a material event
Evidence standard: source records, reconciliations, approvals, exception logs, and remediation evidence
Retention: according to the applicable corporate record-retention schedule

Revision history

Version	Date	Change	Reviewer
1.0	2026-04-15	Initial publication	Business Owner
1.1	2026-07-15	Q2 update and variance review	Risk Partner
1.2	2026-09-01	Control and terminology clarification	Control Owner